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Case Number: 26NNCP00486 Hearing Date: September 17, 2026 Dept: T

Catalina

Structured Funding, Inc. vs Certain Statutory Interested Parties as Defined by
Cal. Ins. Code 10134(g)

Petition

for Approval for Transfer of Structured Settlement Payment Rights by and
between Christina Willis and Catalina Structured Funding, Inc.

Moving Party: Petitioner Catalina

Structured Funding, Inc.

Responding Party: None

Tentative Ruling: Grant

BACKGROUND

On August

24, 2026, Petitioner/Transferee

Catalina Structured Funding, Inc ("Petitioner") filed an amended petition
("Petition") to approve a transfer of a structured settlement currently held by
Christina Willis ("Payee") in connection with a personal injury claim.

The Couty of Los Angeles (the

"County") is the structured settlement obligor ("Obligor"), and the LA Child
Victims Act Settlement Program is the annuity issuer ("Annuity Issuer").

MOVING PARTY POSITION

Petitioner

seeks court approval of the proposed transfer agreement with Payee.

OPPOSITION

No opposition was filed.

REPLY

No reply was filed.

ANALYSIS

I. Legal

Standard

A petition to transfer a structured settlement is governed by Insurance Code sections 10134 through 10139.5. (See 321 Henderson Receivables Origination LLC v. Sioteco (2009) 173 Cal.App.4th 1059, 1066.) Under Insurance Code section 10137, “[a] transfer of structured settlement payment rights is void unless a court reviews and approves the transfer and finds the following conditions are met:

(a)

The transfer of the structured settlement payment rights is fair and reasonable and in the best interest of the payee, taking into account the welfare and support of his or her dependents.

(b)

The transfer complies with the requirements of this article, will not contravene other applicable law, and the court has reviewed and approved the transfer as provided in Section 10139.5.”

Pursuant to Insurance Code section 10139.5, the Court must make the following express written findings as to a transfer of structured settlement payment rights:

(1)

The transfer is in the best interest of the payee, taking into account the

welfare and support of the payee's dependents.

(2)

The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived, in writing, the opportunity to receive the advice.

(3)

The transferee has complied with the notification requirements pursuant to paragraph (2) of subdivision (f), the transferee has provided the payee with a disclosure form that complies with Section 10136, and the transfer agreement complies with Sections 10136 and 10138.

(4)

The transfer does not contravene any applicable statute or the order of any court or other government authority.

(5)

The payee understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136.

(6)

The payee understands and does not wish to exercise the payee's right to cancel the transfer agreement.

(Ins. Code § 10139.5, subd. (a).)

Insurance Code section 10139.5(b)

sets forth fifteen factors to consider in determining whether the transfer is fair and reasonable and in the best interest of the payee, including but not limited to: (1) the reasonable preference and desire of the payee to complete the proposed transaction, taking into account the payee's age, mental capacity, legal knowledge, and apparent maturity level; (2) the stated purpose of the transfer; (3) the payee's financial and economic situation; and (4) the terms of the transaction, including whether the payee is transferring monthly or lump sum payments or all or a portion of his or her future payments.

The petition must also contain certain information enumerated in Insurance Code section 10139.5(c) (to the extent

known by the transferee after a reasonable inquiry), such as the payee's name, address, age, marital status, the names, ages, and places of residence of the payee's minor children or other dependents, amounts and sources of payee's monthly income and financial resources, any child support or spousal support orders, and information about previous transfers or attempted transfers. (See Ins. Code § 10139.5, subd. (c).) With the exception of the payee's name, address, and age, the information required in subdivision (c) may be provided at the hearing on the proposed transfer through oral testimony or documentary evidence filed with the court. (Ins. Code § 10139.5, subd. (d).)

The court shall retain continuing jurisdiction to interpret and monitor the implementation of the transfer agreement as justice requires. (Ins. Code § 10139.5, subd. (i).)

II. Discussion

A. Procedural Requirements

"A petition under this article for approval of a transfer of structured settlement payment rights shall be made by the transferee and brought in the county in which the payee resides at the time the transfer agreement is signed by the payee, or, if the payee is not domiciled in California, in the county in which the payee resides or in the county where the structured settlement obligor or annuity issuer is domiciled." (Ins. Code § 10139.5, subd. (f)(1).)

In addition, the notice of proposed transfer and petition must be filed with the court and served on all interested parties not less than 20 days prior to the scheduled hearing on any petition for approval of a transfer, along with the following items:

A.

A copy of the transferee's current and any prior petitions.

B.

A copy of the proposed transfer agreement.

C.

A listing of each of the payee's dependents, together with each dependent's age.

D.

A copy of the disclosure required in subdivision (b) of section 10136.

E.

A copy of the annuity contract, if available.

F.

A copy of any qualified assignment agreement, if available.

G.

A copy of the underlying structured settlement agreement, if available.

[...]

I.

Proof of service showing compliance with the notification requirements of this section.

J.

Notification that any interested party is entitled to support, oppose, or otherwise respond to the transferee's application, either in person or by counsel, by submitting written comments to the court or by participating in the hearing.

K.

Notification of the time and place of the hearing and notification of the manner in which and the time by which written responses to the application must be filed, which may not be less than 15 days after service of the transferee's notice, in order to be considered by the court.

L.

If the payee entered into the structured settlement at issue within five years prior to the date of the transfer agreement, then the transferee shall provide notice to the payee's attorney of record at the time the structured settlement was created, if the attorney is licensed to practice in California, at the attorney's address on file with the State Bar of California. The notice shall be delivered by regular mail and must include specific language described in Ins. Code, § 10139.5, subd. (f)(2)(L).

(Ins. Code § 10139.5, subd. (f)(2).)

"Any notice required by this article shall be deemed to have been given if addressed to the recipient's last known address and deposited, first class postage paid, in the United States mail not less than five calendar days prior to the date on which notice is required." (Ins. Code § 10139.2.)

Here, the proof of service shows that the following documents were served by mail on Payee, Obligor, and Annuity Issuer on August 24, 2026: "(1) Motion and Notice of Hearing; (2) First Amended Petition for Approval for Transfer of Structured Settlement Payment Rights; (3) Declaration of Jessica Grace; (4) Notice of Proof of Service." In addition, the proof of service and the filed notices dated August 24, 2026, show that Petitioner served by mail attorneys Todd Becker and Patrick McNicholas, Plaintiff's counsel of record at the time the structured settlement was created, with notice pursuant to Insurance Code section 10139.5(f)(2)(L).

Furthermore, Petitioner was required to include a copy of the annuity contract, any qualified assignment agreement, and the underlying structured settlement agreement, if available. (Ins. Code, § 10139.5, subd. (f)(2)(E)–(G).) However, "[i]f a copy of a document described in subparagraph (E), (F), or (G) is unavailable or cannot be located, then the transferee is not required to attach a copy of that document to the petition or notice of the proposed transfer if the transferee satisfies the court that reasonable efforts to locate and secure a copy of the document have been made, including making inquiry with the payee. If the documents are available, but contain a confidentiality or non-disclosure provision, then the transferee shall summarize in the petition the payments due and owing to the payee, and, if requested by the court, shall provide copies of the documents to the court at a

scheduled hearing.” (Ins. Code §
10139.5, subd. (f)(2)(H).)

Here, Petitioner has provided a copy
of the underlying structured settlement agreement. (Grace Decl. ¶ 1, Exh. A.) As to any remaining documents under Section
10139.5(f)(2)(E), (F), or (G) that were not included with the First Amended
Petition, Petitioner’s customer service representative, Jessica Grace,
describes her efforts to obtain this required information. She states that she contacted Payee on June
12, 2026, and was informed that she does not have the underlying documents. (Id. ¶ 1(b)(i).) She also requested the court
records for the
underlying civil case. (Id. ¶
1(b)(ii). Despite doing this, Ms. Grace could
not obtain the documents. (Id. ¶
1(b)(i)–(ii).) She further declares as
follows: “After diligent effort, I do not believe that there are other
reasonable means of obtaining the requested documents and I therefore
respectfully request that my due diligence in this matter be considered by this
court and that this court waive submission of the missing underlying documents.” (Id. ¶ 1(b)(iii).) Accordingly, the Court finds
that Ms. Grace
took reasonable efforts to obtain any remaining documents.

B. Substantive Findings

The
First Amended Petition properly includes Payee’s name and age: Christina Willis
is 41 years old and single. (First
Amended Petition, Exh. D (“Willis Decl.”) ¶ 4.)
Willis also has three dependents: (1) Cash Mona, 1-year old; (2) Faith
Willis, 10-years old; and (3) Demetri Willis, 14-years-old. (Id. ¶ 4; First Amended Petition, Exh.
C.)

The
First Amended Petition asserts that Payee is pro per in this matter. (First Amended Petition ¶ 17.)

Based
on the proposed transfer agreement, Payee will sell to Petitioner 4 annual lump
sum payments of \$20,000.00 that will be paid under the following schedule: “1
lump sum payment of \$20,000.00 due on June 12, 2027; 1 lump sum payment of
\$20,000.00 due on June 12, 2028; 1 lump sum payment of \$20,000.00 due on June

12, 2029; 1 lump sum payment of \$20,000.00 due on June 12, 2030.” (First Amended Petition, Exh. A (“Transfer Agreement”).) This amount totals \$80,000.00. Payee will sell her right to these payments to Petitioner for \$40,000.00. (Ibid.)

Pursuant to Insurance Code section

10139.5(a)(2), the First Amended Petition contains a copy of Petitioner’s notice to Payee to seek independent professional advice. (First Amended Petition, Exh. E.) Payee has signed the waiver. (Ibid.)

The First Amended Petition also includes

a copy of the disclosure statement required in section 10136(b). (First Amended Petition, Exh. B.)

Regarding the requirements in Section

10139.5(c), the First Amended Petition includes a declaration from Payee signed under penalty of perjury. (Willis Decl.) Payee declares that the original structured settlement was compensation for a personal injury claim arising from an incident of abuse that took place while Willis was a minor and in custody at a detention center in Los Angeles County. (Id.

¶ 3.) She further declares:

I

am 41 years old, single, and have three dependents: Cash Mona (1 y/o), Faith Willis (10 y/o), and Demetri Willis (14 y/o). I reside at 1864 Cordova St. Apt 6, Pomona, CA 91767. Cash and Faith currently reside with me. Demetri resides with my mother. I am currently not working but actively looking for work as a babysitter or daycare worker. I currently have no monthly source of income. I do not rely on the structured settlement payments I am proposing to assign for my day-to-day living expenses.

(Id.

¶ 4.)

Payee also declares: “I do not have

any court-ordered child support payment obligations.” (Willis Decl. ¶ 5.) Payee has never previously attempted to assign a portion of her structured settlement payment rights. (Id. ¶ 6.) Although Payee seeks to sell rights to payments due less than a year in the future, she does not depend on these funds for her current day-to-day living expenses. (Id. ¶ 4.) Moreover, as she is currently homeless and unemployed, Payee plans to use and allocate at least \$10,000.00 of these funds to cover both her past due rent and housing expenses until she finds work. (Id. ¶ 7.) Payee also plans to use at least \$12,000.00

to purchase a vehicle, as she does not currently own a functioning vehicle and needs one to travel to and from any potential place of work. (Ibid.) Payee finally plans to use any remaining funds for living expenses, so that she can “get back on [her] feet.” (Ibid.)

In addition, the declaration of Grace summarizes Payee’s past transfers of this structured settlement in the last five years as follows: “None.” (Grace Decl. ¶ 7.)

As stated in Insurance Code section 10139.5(c), “[t]he transferee or payee may choose to provide this information by providing copies of pleadings, transaction documents, or orders involving any previous attempted or completed transfer or by providing the court a summary of available information regarding any previous transfer or attempted transfer, such as the date of the transfer or attempted transfer, the payments transferred or attempted to be transferred by the payee in the earlier transaction, the amount of money received by the payee in connection with the previous transaction, and generally the payee’s reasons for pursuing or completing a previous transaction.” (Ins. Code § 10139.5, subd. (c)(6).) However, “[t]he transferee’s inability to provide the information required by this paragraph shall not preclude the court from approving the proposed transfer, if the court determines that the information is not available to the transferee after the transferee has made a reasonable effort to secure the information, including making an inquiry with the payee.” (Ibid.)

Therefore, considering the above, Petitioner has met the requirements set forth in Section 10139.5(c).

In sum, given the evidence provided with the First Amended Petition and filed declarations and exhibits, the Court finds the transfer is in the best interest of Payee. She has been advised in writing to seek independent professional advice and has waived that opportunity in writing. (First Amended Petition, Exh. E.) The disclosure form that Petitioner provided Payee complies with section 10136. (Id., Exh. B.) The transfer agreement complies with sections 10136 and 10138 and does not contravene any applicable statute or the order of any court or other government authority. (Grace Decl. ¶ 1, Exh. A.) Payee has also declared that she understands the nature and terms of the transaction. (Willis Decl. ¶ 12.) Based on Payee’s

declaration, the Court finds that Payee understands and does not wish to exercise her right to cancel the agreement.

Furthermore, the Court finds the proposed transfer is fair and reasonable and in the best interest of Payee.

Therefore, the First Amended Petition is granted.

RULING

Petitioner

Catalina Structured Funding, Inc.'s First Amended Petition

for Approval for Transfer of Structured Settlement Payment Rights is GRANTED.